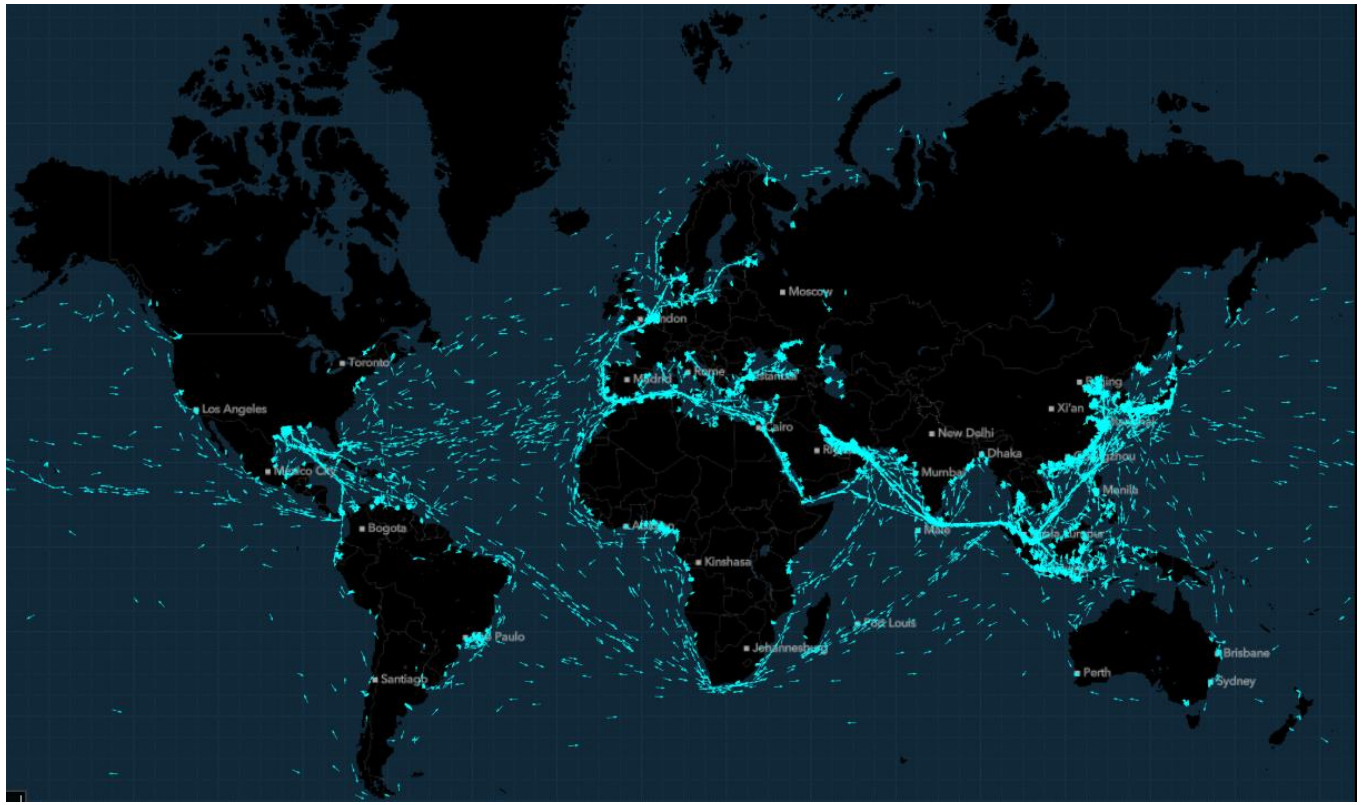
Commodities Club

William Yu & Stanislas Robert

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What are commodities?

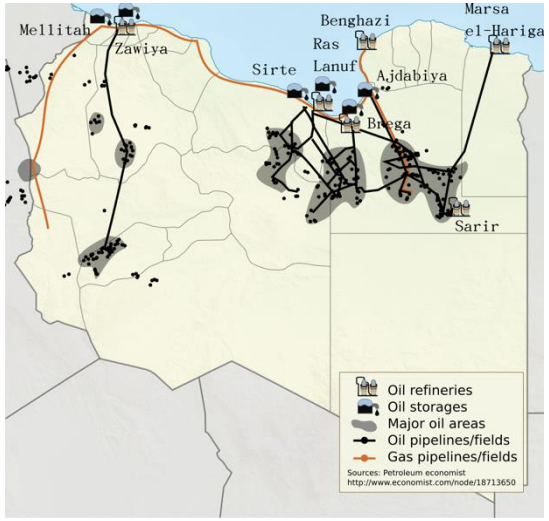
- Energy
  - Oil, gas, power (electricity)
- Agriculture
  - Wheat, soybeans, softs
- Metals
  - Gold, silver, copper, iron, zinc
- Other
  - Uranium, lean hog, cattle, carbon credits



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Who trades commodities?

- Producers (upstream hedgers)
- Consumers (downstream hedgers)
- Merchants / Physical traders / majors
- Speculative capital
  - Hedge funds, banks, proprietary shops







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How to trade commodities?

- Spot/cash trading (physical)
  - Arbitrage space, time, or form
- Futures
  - Physical/cash settlement
- Options + Derivatives
  - Eg. Brent CfDs, DFLs
- Physical contracts imply delivery
- Financial contracts are called “paper”

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Why is this relevant for equity investors?

- Commods can be pure signal of geopolitics
  - E.g. oil, gas, copper
- Hedge equity exposures
- Pair trades

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Commodities Club

- Weekly meetings
- Trade pitches (& execution)
- Alumni networking/Guest speakers
- Alternative markets (e.g. weather, Polymarket)
- Geospatial modeling
- Send us email if interested:
  - stanislas_robert@brown.edu
  - william_yu@brown.edu

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Trade Pitch:
Long TTF Summer 26 Strip & Short TTF Summer 27 Strip

The market is overpaying for European structural tightness in 2027

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NatGas Macro Fundamentals to be discussed

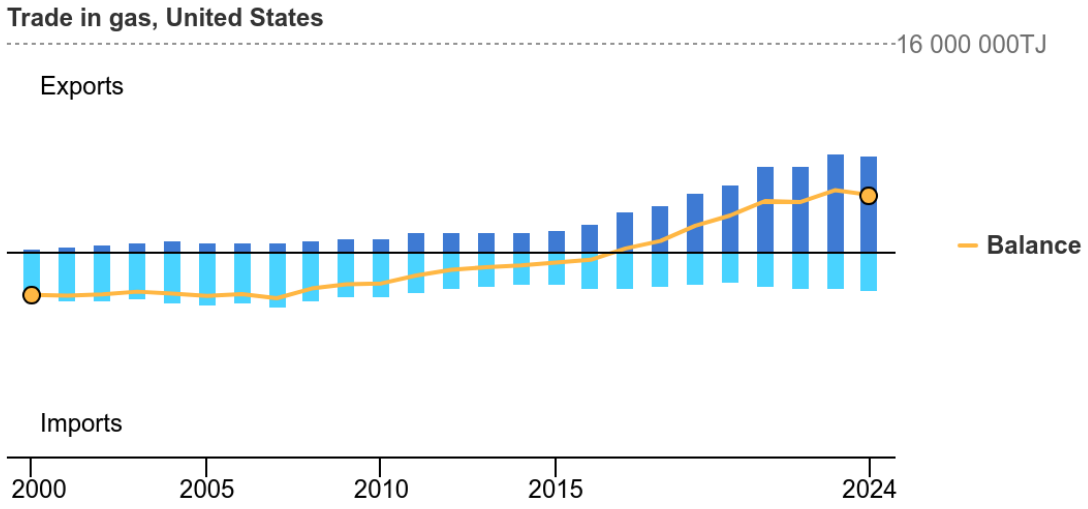
1. US LNG capacity ramp-up
2. US data centers power demand
3. FERC deregulation, pipeline & terminals permits
4. EU gas supply diversification
5. Russia-Ukraine war conclusion?
6. US Midterm elections: power prices
7. Developing countries' gas demand

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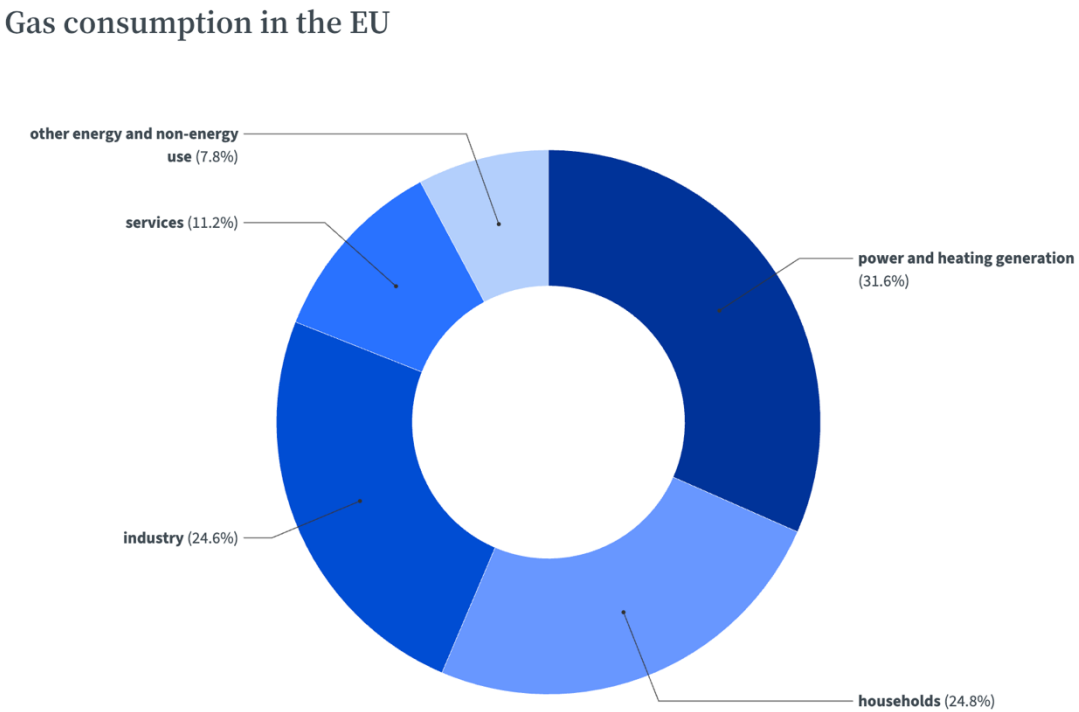
What's NatGas?

Rise of Natural Gas markets:

- 1978 Natural Gas Policy Act
- US Shale Revolution: net importer to exporter: where to sell this? Financial markets
- Liquified Natural Gas (LNG)
- 2000s commodification of gas: slow shift away from long term LNG contracts
- Russian war: linking of global gas markets, arbs



Source: International Energy Agency. Licence: CC BY 4.0



Europe Gas Overview

- Sources: pipeline, LNG
- Summer is when Europe buys insurance by refilling.
  - Storage as call option on winter scarcity
  - When refill is easy, summer clears lower

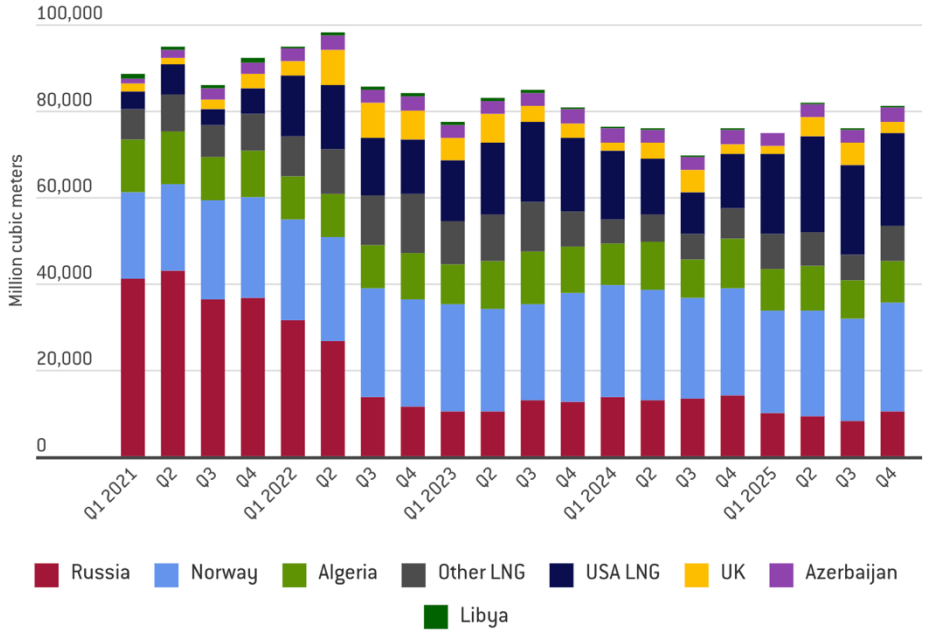
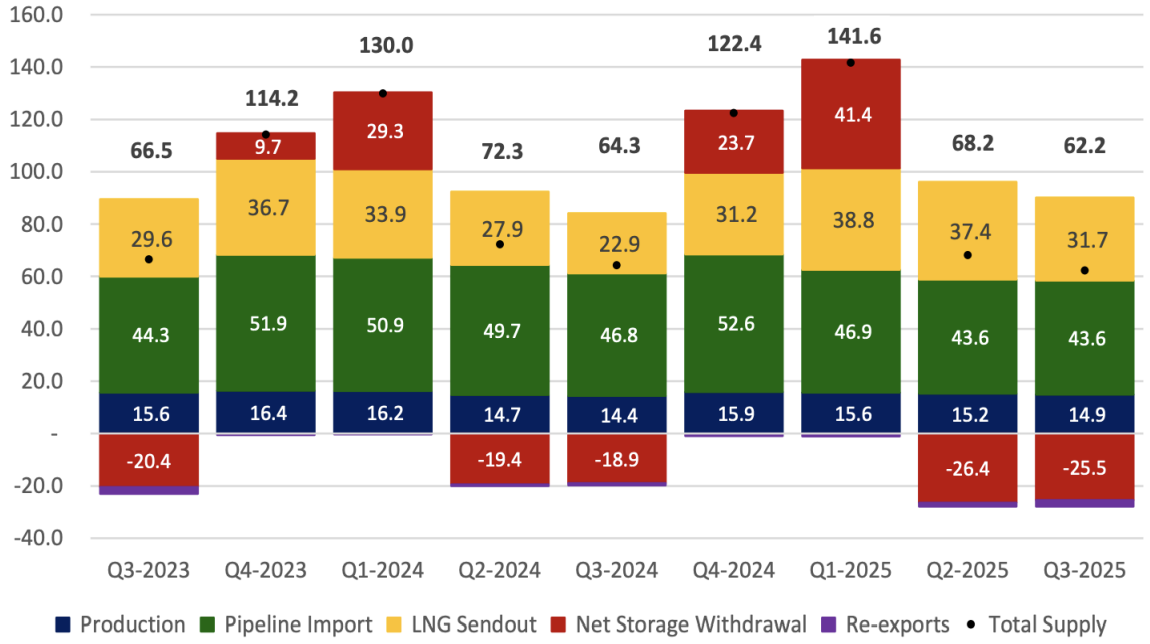
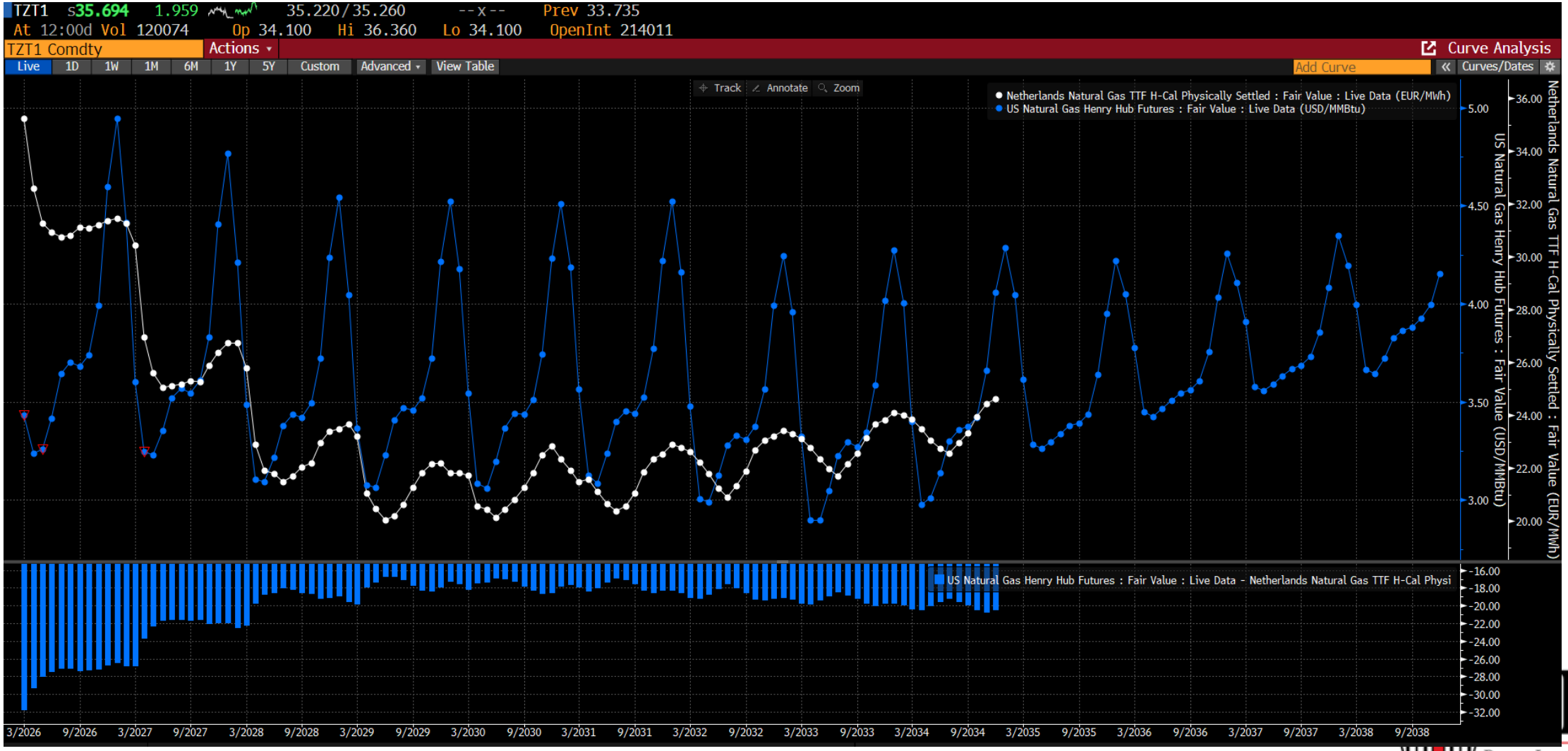


Figure 15: EU-27 plus UK gas supply by source (Bcm)



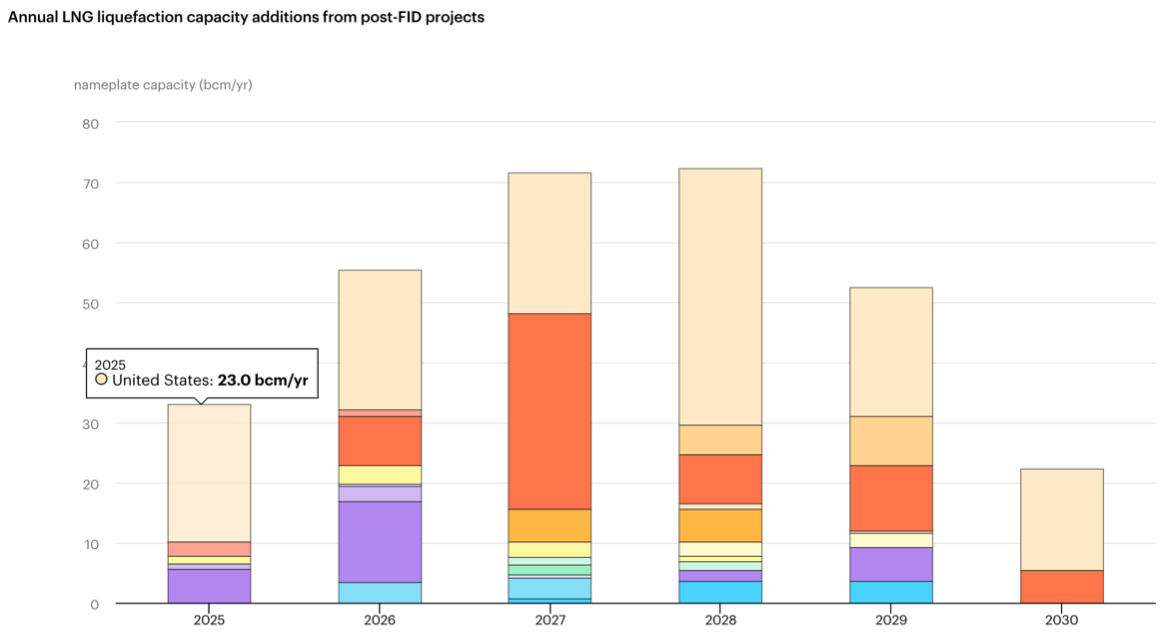
European (TTF) & US (HH) Gas Futures



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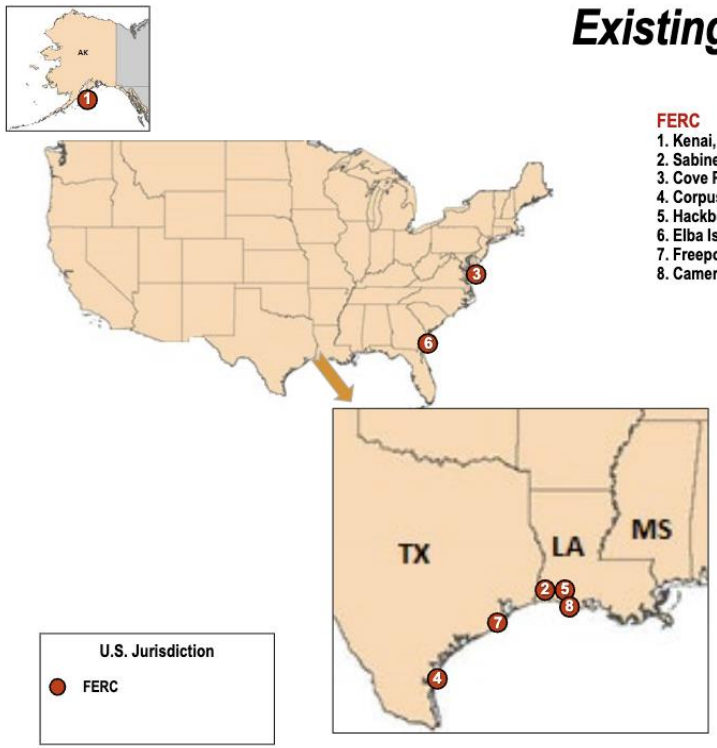
Catalysts (i): LNG Ramp-Up

- US had ~150bcm LNG export capacity in 2025, at ~95% utilization
  - ~15% of US gas consumption
- By 2029, 100%+ increase in export capacity based on post-FID projects
- Qatari new projects; +50% export capacity by 2027: 170bcm/yr



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United States LNG Export Terminals
Existing

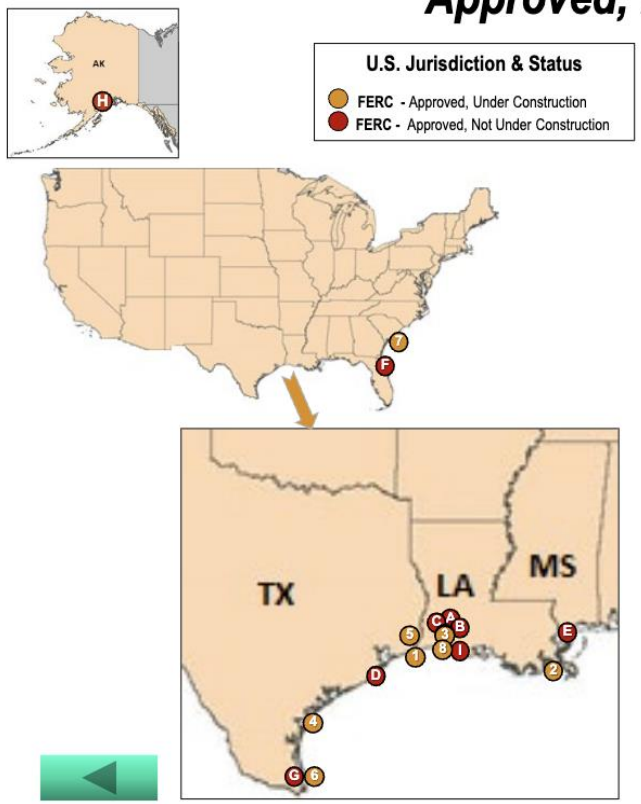


FERC

1. **Kenai, AK:** 0.2 Bcfd (Trans-Foreland – Kenai LNG)
2. **Sabine, LA:** 4.55 Bcfd (Cheniere – Sabine Pass LNG – Trains 1-6)
3. **Cove Point, MD:** 0.79 Bcfd (BHE – Cove Point LNG)
4. **Corpus Christi, TX:** 2.40 Bcfd (Cheniere – Corpus Christi LNG Trains 1-3)
5. **Hackberry, LA:** 2.06 Bcfd (Sempra – Cameron LNG, Trains 1-3)
6. **Elba Island, GA:** 0.36 Bcfd (Kinder Morgan – Southern LNG/Elba Liquefaction Units 1-10)
7. **Freeport, TX:** 2.38 Bcfd (Freeport LNG Trains 1-3)
8. **Cameron Parish, LA:** 1.76 Bcfd (Venture Global – Calcasieu Pass Units 1-9)

As of January 30, 2026
Updated to reflect changes since previous issuance

United States LNG Export Terminals
Approved, Not Yet Built



FERC – APPROVED, UNDER CONSTRUCTION

1. **Sabine Pass, TX:** 2.57 Bcfd (ExxonMobil – Golden Pass) (CP14-517, CP20-459)
2. **Plaquemines Parish, LA:** 3.76 Bcfd (Venture Global – Plaquemines) (CP17-66, CP22-92)
3. **Calcasieu Parish, LA:** 3.81 Bcfd (Woodside – Louisiana LNG) (CP17-117)
4. **Corpus Christi, TX:** 2.06 Bcfd (Cheniere – Corpus Christi Stage III & T 8-9) (CP18-512, CP23-129)
5. **Port Arthur, TX:** 3.72 Bcfd (Sempra – Port Arthur LNG Trains 1-2 & Trains 3-4) (CP17-20, CP20-55)
6. **Brownsville, TX:** 3.73 Bcfd (NextDecade – Rio Grande LNG) (CP16-454)
7. **Elba Island, GA:** 0.05 Bdfd (Kinder Morgan – Elba Liquefaction Optimization MMLS 1-4 & 6-10) (CP23-375)
8. **Cameron Parish, LA:** 3.96 Bcfd (Venture Global – CP2) (CP22-21)

FERC – APPROVED, NOT UNDER CONSTRUCTION

A. **Lake Charles, LA:** 2.27 Bcfd (Energy Transfer – Lake Charles LNG) (CP14-120)
B. **Lake Charles, LA:** 1.22 Bcfd (Glenfarne Group – Magnolia LNG) (CP14-347)
C. **Hackberry, LA:** 0.93 Bcfd (Sempra - Cameron LNG Train 4) (CP15-560, CP22-41)
D. **Freeport, TX:** 0.74 Bcfd (Freeport LNG Train 4) (CP17-470)
E. **Pascagoula, MS:** 1.50 Bcfd (Kinder Morgan – Gulf LNG Liquefaction) (CP15-521)
F. **Jacksonville, FL:** 0.13 Bcfd (Eagle LNG – Jacksonville LNG) (CP17-41)
G. **Brownsville, TX:** 0.62 Bcfd (Glenfarne Group –Texas LNG Brownsville) (CP16-116)
H. **Nikiski, AK:** 2.76 Bcfd (Alaska Gasline – Alaska LNG) (CP17-178)
I. **Cameron Parish, LA:** 1.21 Bcfd (Kimmeridge – Commonwealth LNG) (CP19-502)

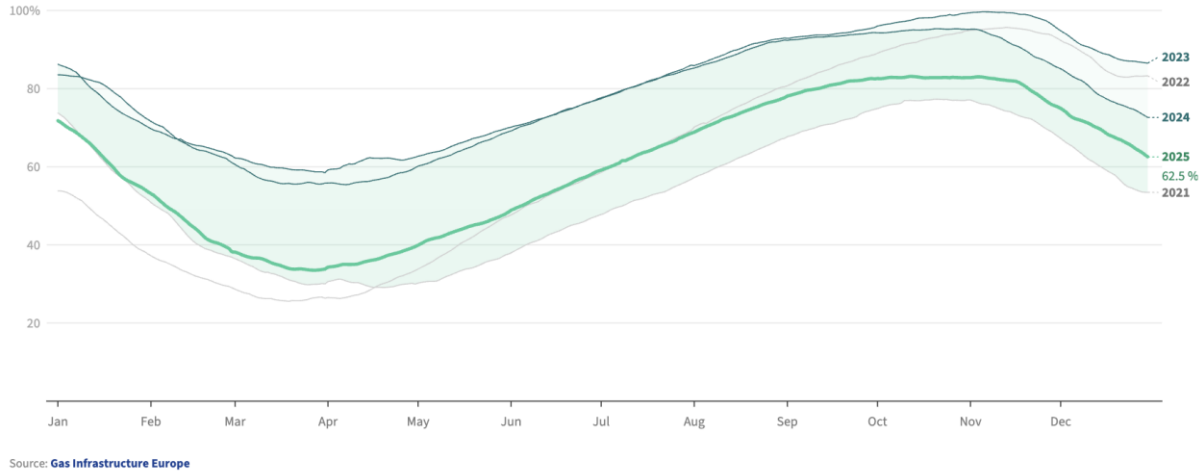
PROJECTS UNDER MARAD/USCG JURISDICTION
https://www.maritime.dot.gov/ports/deepwater-ports-and-licensing/approved-applications

As of January 30, 2026
Updated to reflect changes since previous issuance

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Catalysts (ii): EU Policy/Contracting News

- Modeling European gas demand
- 2026 forecast indicates overdemand, while 2027 indicates glut
- EU must refill storages in 26 summer
  - Projected at 25% by March (lowest since 2021 Russia-Ukraine)
- Non-EU LNG imports actually declined in 2025 (OIES)



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(mtpa)	2025E	2026E	2027E
World Supply	**431**	**468**	**499**
Australia	81	82	84
United States	111	128	138
Qatar	81	80	91
Other	158	178	186
World Demand	**442**	**479**	**480**
South Korea	48	48	48
China	81	86	86
Europe	128	115	118
Japan	70	69	67
Other	115	161	161

(twh)	2024	2025	2026E	2027E
Total Renewables	**1326**	**1331**	**1444**	**1525**
Solar	307	369	424	480
Wind	485	473	497	521
Hydro	370	327	360	360
Bioenergy	158	156	156	158
Other Renewable	7	7	7	7
Nuclear	650	652	652	659
Total Fossil	**792**	**809**	**736**	**684**
Coal	271	257	231	213
Gas	432	466	421	391
Other Fossil	89	86	83	81
Net Imports	-12	-22	-20	-20
Electricity Demand	**2755**	**2770**	**2812**	**2848**

Growth Forecast	2026E	2027E
Electricity Demand	**1.5%**	**1.3%**
Solar	15%	13%
Wind	5%	5%
Hydro	10%	0%
Bioenergy	0%	1%
Nuclear	0%	1%
Coal	-10%	-8%
Other Fossil	-3%	-3%

(bcm)	2025	2026E	2027E
Power Generation	115	106	100
Industrial	112	117	119
Res/Comm	163	166	158
Other	12	11	10

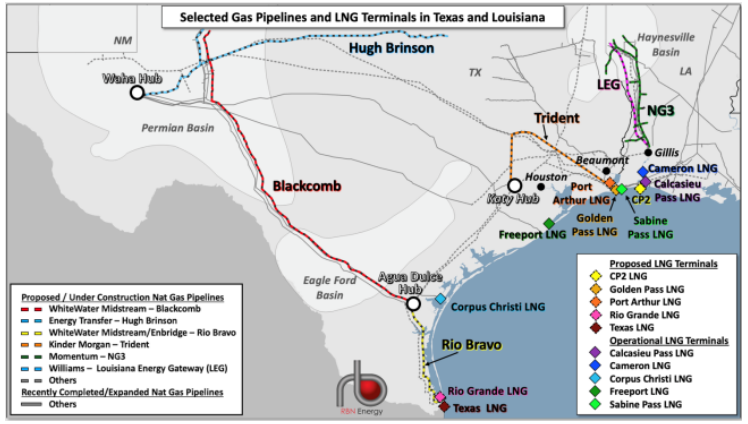
Gas Balance (bcm)	2025	2026E	2027E
Total Demand	402	400	387
Net Injection	23	0	0
Domestic Production	64	59	56
Pipeline Imports	185	183	168
LNG Imports	176	158	163

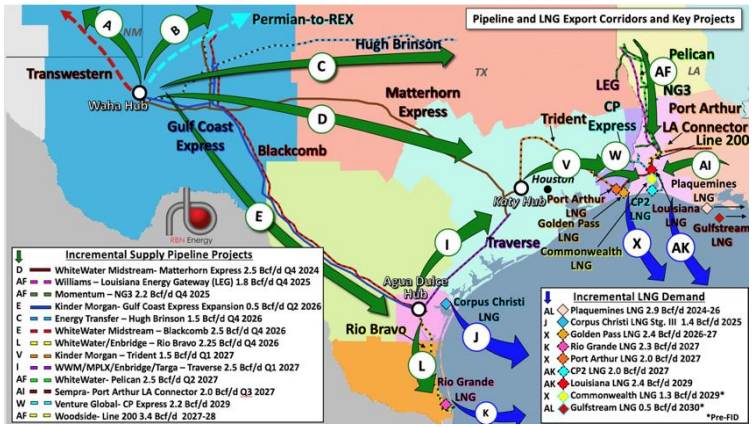
(Power Gen+Industrial+Res/Comm+Other) + Net Injection = Domestic Production + Pipeline Imports + LNG Imports

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Catalysts (iii): US LNG Feedgas Stays Abundant

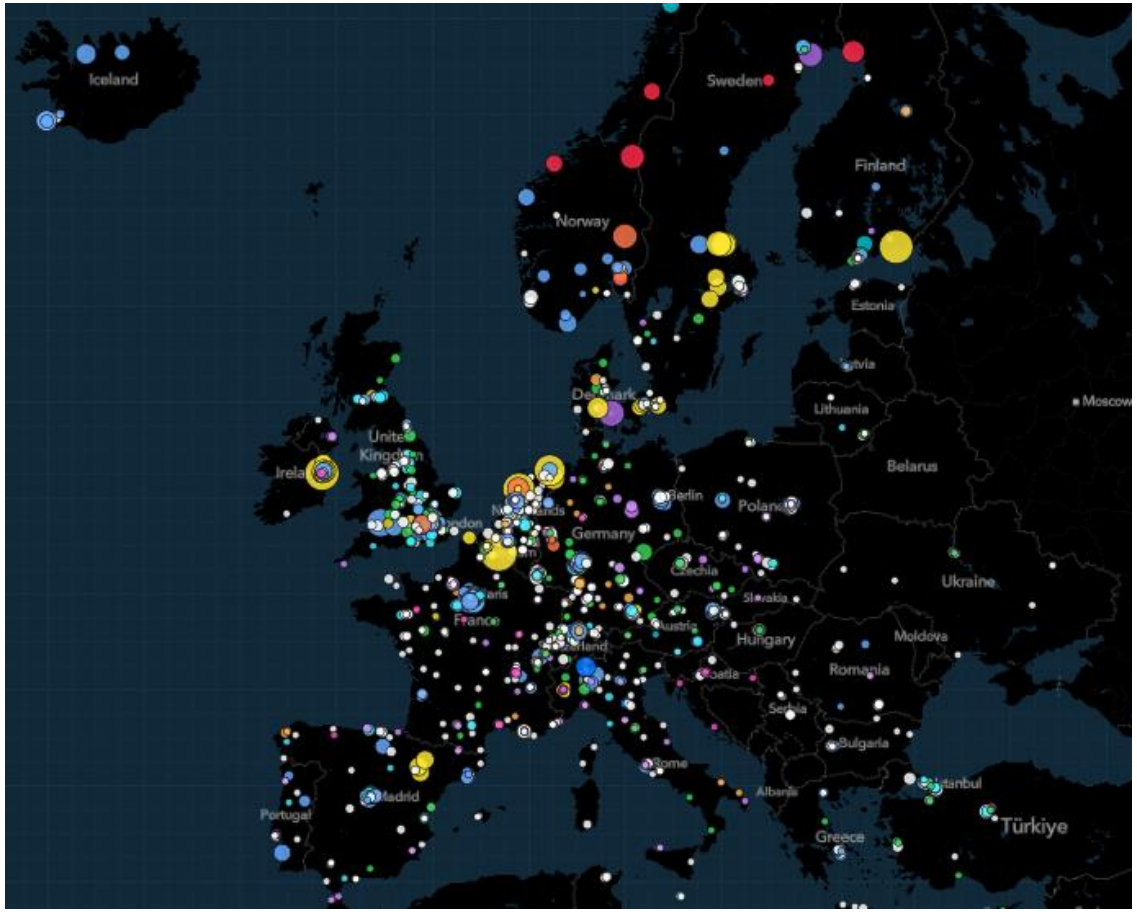
- **Physical reality:** constraint is pipes/processing, not molecules
  - Cheap Waha associated gas + stable Haynesville means Gulf feedgas is available once takeaway expands
  - Data centers won't "crowd out" LNG exports: exports are constrained by liquefaction capacity and Gulf access,
- **Policy bias:** admin wants to keep LNG exports flowing (permits/infra friendlier).
- **Support:** 80-90% of LNG sold on long-term, take-or-pay contracts

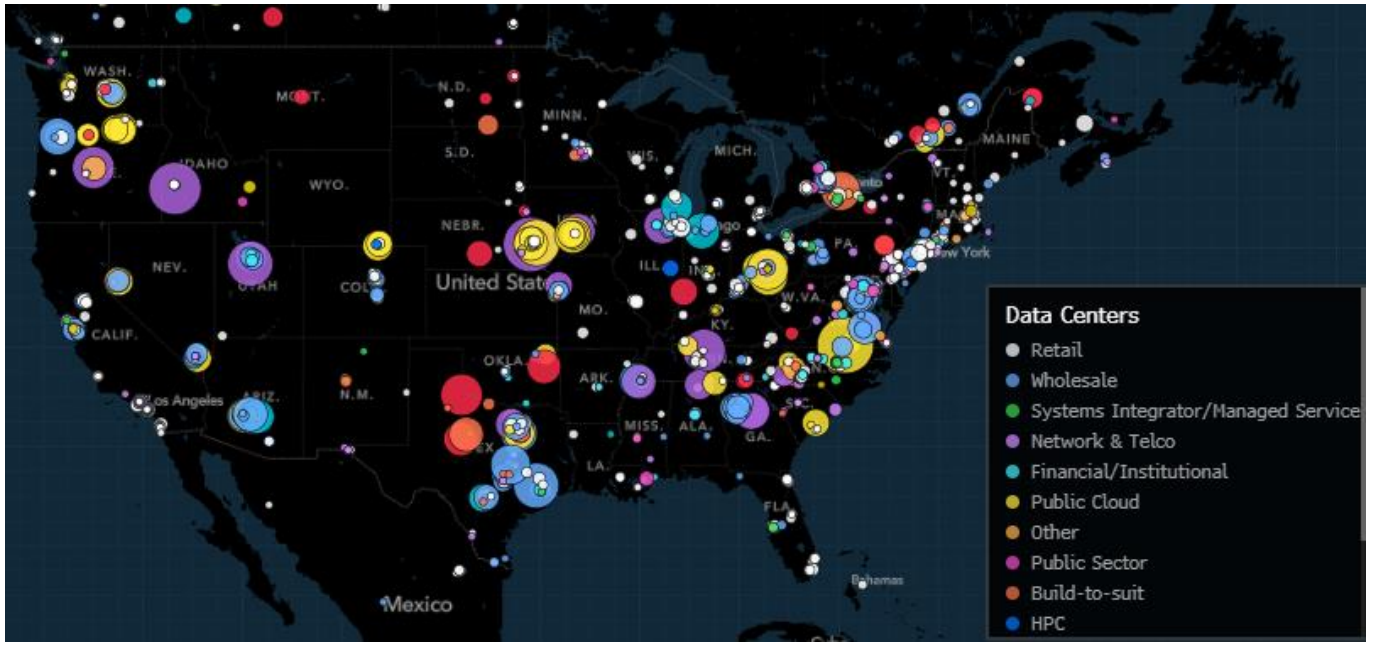




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Data Center Expansion





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How do we express these macro views?

- Why summer strips?
  - Lower probability of a pure weather-driven spike than winter
  - Summer pricing tends to be more about LNG marginal cargoes and less about "panic"
- Why hedge with '26 strips? (vs just short '27)
  - Betting on relative value
  - Also bullish summer '26 refill
  - Don't need a perfect call on outright TTF level
- Neutral vol
- Why TTF?
  - More sensitive to US LNG export than HH

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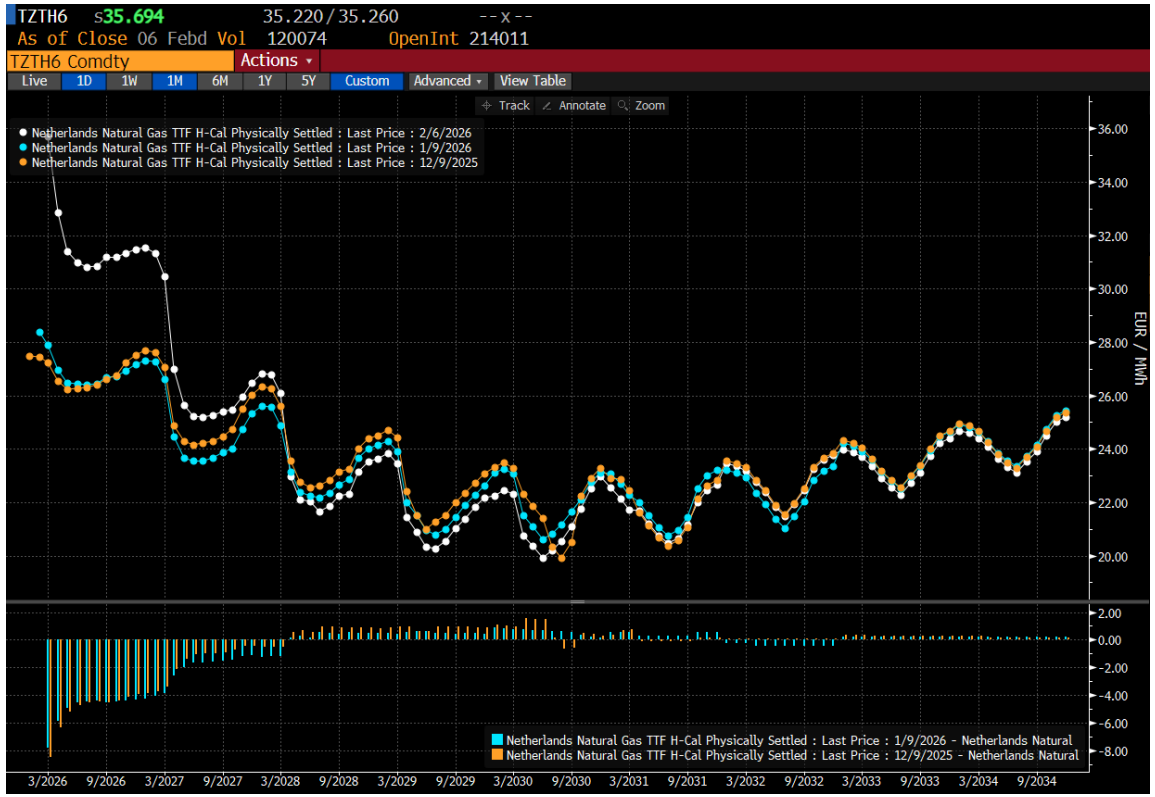
Risks

- Heavy Europe summer 27 buying (e.g. 90% storage target)
- US LNG infra malfunction (e.g. Freeport LNG ’22, Delfin LNG last week)
- US Sanctions on Russian Gas
  - Russia still sent 16bcm to EU in 2025 (11-13% of EU gas imports)
  - Early end to Russian war

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Why this isn't a consensus trade

- Market overprices long-dated scarcity after 2022
- People anchor on winter blow-ups (02/2026); minimal effect on 2027 summer refill economics
- Front-end is priced more by supply
- Back-end is priced by structural supply/demand & geopolitics



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Final Thesis & Conclusion

- Catalysts (i): LNG Ramp-Up
- Catalysts (ii): EU Policy/Contracting News
- Catalysts (iii): US LNG Feedgas Stays Abundant

Long TTF Summer 26 Strip & Short TTF Summer 27 Strip

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